proving vaccination levels helps factories operate without disruptions, keeps hubs like Vietnam re-open and allows steady supplies of key inputs like metals and semiconductors to be maintained, replenishing inventories and restarting production chains. Some risks remain, though. A broad-based lockdown in China could disrupt supply chains (among major economies, only China is still targeting "zero-Covid"). Further, geopolitics clouds supply normalisation in oil and gas, and is a risk to be wary of.

On the other hand, as we enter 2022, in contrast to 2021, the world faces slowing demand. Global retail sales have fallen back to trend, and as pent-up demand fades further, effects of the significant US fiscal stimulus weaken, Chinese retail sales remain more than 10 per cent below trend, and surging infections force many European nations to restrict activities again, they are likely to fall below trend in the next few months. The services-to-goods switch that occurred during lockdowns (as services were restricted) should also reverse, hurting goods demand. Further, fixed-assets investment has been weak globally, partly due to uncertainty from repeated pandemic outbreaks, but also because of changes in Chinese policy towards its real estate market and local infrastructure. There has been some easing in December, but the objective appears to be to engineer a soft landing rather than accelerate these activities again.

This slowdown in demand may not be easy to counter. As inflation makes headlines in the developed world and has risen in some developing economies too, governments are facing political pressure (particularly in the US), and policymakers are unlikely to be in a position to respond to slower growth with more stimulus. In fact, nearly all central banks are now withdrawing monetary accommodation and some have also embarked on monetary tightening. While lower demand and improved supplies should help bring down inflation, this may take several months, and perhaps longer in markets like the US, where the fiscal and monetary stimuli have been the strongest.

The underlying narrative in global financial markets could thus shift from worrying about inflation to worrying about growth, even as inflation remains elevated in several economies. This is a recipe for volatility in currency, bond as well as equity markets, more so as most of the current generation of traders is not familiar with a high-inflation policy backdrop in the US.

So, how would India fare? The big question about India's economy is an internal one: how close can it get to the pre-pandemic path? Consensus estimates suggest output in the next financial year would be around 10 per cent below where it would have been if Covid had not happened. This appears to be too pessimistic, and the gap may only be five percent, necessitating significant upgrades to growth forecasts for India.

Pessimists worry about the 25 million workers who have moved back from industry and services to farming, and possibly another 15 million added to working age population in the last two years. It is however unwise to categorise these job losses as permanent. The most impacted services categories are personal services, travel and tourism, and education. A full resumption of workplaces should bring back jobs in personal services in offices and at home (like house cleaners, cooks, drivers and nannies). Resumption of official and inbound international travel should help revive travel and tourism jobs. Similarly, parents who had moved their children to government schools are likely to move them back into private schools once they restart, necessitating the hiring of more teachers.

TO MAINTAIN INDIA'S GROWTH MOMENTUM, POLICYMAKERS SHOULD FOCUS ON INCREASING INDIA'S SHARE OF GLOBAL TRADE



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